

# Climate Report 2025

June 2026



| TIME HORIZON                                                                                                                                                                                                                                                                                                                              | Physical Risks                                                                     |                                                                                     | Transition Risks                                                                    |                                                                                     |                                                                                     |                                                                                     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
|                                                                                                                                                                                                                                                                                                                                           | ACUTE                                                                              | CHRONIC                                                                             | POLICY AND LEGAL                                                                    | TECHNOLOGY                                                                          | MARKET                                                                              | REPUTATION                                                                          |
| Short (1-2 years)                                                                                                                                                                                                                                                                                                                         |  |  |  |  |  |  |
| Medium (3-10 years)                                                                                                                                                                                                                                                                                                                       |  |  |  |  |  |  |
| Long (11+ years)                                                                                                                                                                                                                                                                                                                          |  |  |  |  |  |  |
| <div> Low Risk or Opportunity</div> <div> Medium Risk</div> <div> High Risk</div> |                                                                                    |                                                                                     |                                                                                     |                                                                                     |                                                                                     |                                                                                     |

<sup>11</sup> The assessment is part of an independent risk process. It was not delivered to, nor actioned by, MSIM's investment teams or the Boards during the reporting period.

| SECTOR/<br>INDUSTRY    | NET ZERO<br>2050                                                                  | FRAGMENTED<br>WORLD                                                               | HOT<br>HOUSE                                                                      |
|------------------------|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| Consumer Discretionary |  |  |  |
| Consumer Staples       |  |  |  |
| Energy                 |  |  |  |
| Materials              |  |  |  |
| Industrials            |  |  |  |
| Healthcare             |  |  |  |
| Financials             |  |  |  |



Low Risk or Opportunity



Medium Risk



High Risk

| SECTOR/<br>INDUSTRY    | NET ZERO<br>2050                                                                    | FRAGMENTED<br>WORLD                                                                 | HOT<br>HOUSE                                                                        |
|------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| Information Technology |  |  |  |
| Real Estate            |  |  |  |
| Communication Services |  |  |  |
| Utilities              |  |  |  |
| Renewables             |  |  |  |
| Transportation         |  |  |  |

## Net Zero 2050

from carbon legislation, or losses from stranded assets. A material demand for decarbonisation technologies could